

Consider a weighted least square problem:

$$\min_b \frac{1}{N} \sum_{i=1}^N w_i (y_i - x_i' b)^2 \quad (1)$$

where w_i is the weight on unit i in the random sample. First order condition with respect to b :

$$\begin{aligned} \frac{\partial}{\partial b} &= -2 \frac{1}{N} \sum_i w_i x_i (y_i - x_i' b) = 0 \\ \Rightarrow \hat{\beta}_w &= \left(\frac{1}{N} \sum_i w_i x_i x_i' \right)^{-1} \left(\frac{1}{N} \sum_i w_i x_i y_i \right) \end{aligned} \quad (2)$$

Special case: suppose the units belong to either group a or group b . Consider $x_i = \begin{pmatrix} D_{ai} \\ D_{bi} \end{pmatrix}$ where $D_{ai} = 1[i \in a]$, and $D_{bi} = 1[i \in b]$. Now we have a weighted regressions with two dummy variables. You could get the FOC of the problem below:

$$\min_b \frac{1}{N} \sum_{i=1}^N w_i (y_i - D_{ai} b_1 - D_{bi} b_2)^2 \quad (3)$$

FOC w.r.t. b_1 :

$$\begin{aligned} \frac{\partial}{\partial b_1} &= -2 \frac{1}{N} \sum_{i=1}^N w_i D_{ai} (y_i - D_{ai} b_1 - D_{bi} b_2) \\ &= -2 \frac{1}{N} \left(\sum_{i \in a} w_i 1 (y_i - b_1 - 0 * b_2) + \sum_{i \in b} 0 \right) = 0 \\ \Rightarrow \hat{\beta}_1^w &= \frac{\sum_{i \in a} w_i y_i}{\sum_{i \in a} w_i} \end{aligned} \quad (4)$$

Note in the 2nd line of the FOC, we use the fact that $\sum_i w_i D_{ai} y_i = \sum_{i \in a} w_i y_i + \sum_{i \in b} w_i 0 y_i = \sum_{i \in a} w_i y_i$.

Similarly, $\hat{\beta}_2^w = \frac{\sum_{i \in b} w_i y_i}{\sum_{i \in b} w_i}$ represents the weighted average in group b .

Alternatively, you may want to verify (2) in vector form directly:

$$\begin{aligned} \frac{1}{N} \sum_i w_i x_i x_i' &= \frac{1}{N} \sum_i w_i \begin{pmatrix} D_{ai} \\ D_{bi} \end{pmatrix} \begin{pmatrix} D_{ai} & D_{bi} \end{pmatrix} \\ &= \frac{1}{N} \sum_i w_i \begin{pmatrix} D_{ai}^2 & D_{ai} D_{bi} \\ D_{ai} D_{bi} & D_{bi}^2 \end{pmatrix} \\ &= \begin{pmatrix} \frac{1}{N} \sum_{i \in a} w_i & 0 \\ 0 & \frac{1}{N} \sum_{i \in b} w_i \end{pmatrix} \end{aligned} \quad (5)$$

using the fact that $D_{ai} * D_{bi} \equiv 0$. Since it is a diagonal matrix,

$$\left(\frac{1}{N} \sum_i w_i x_i x_i\right)^{-1} = \begin{pmatrix} \left(\frac{1}{N} \sum_{i \in a} w_i\right)^{-1} & 0 \\ 0 & \left(\frac{1}{N} \sum_{i \in b} w_i\right)^{-1} \end{pmatrix}$$

and the vector $\frac{1}{N} \sum_i w_i x_i y_i$:

$$\begin{aligned} \frac{1}{N} \sum_i w_i x_i y_i &= \frac{1}{N} \sum_i w_i \begin{pmatrix} D_{ai} \\ D_{bi} \end{pmatrix} y_i \\ &= \begin{pmatrix} \frac{1}{N} \sum_i w_i D_{ai} y_i \\ \frac{1}{N} \sum_i w_i D_{bi} y_i \end{pmatrix} \\ &= \begin{pmatrix} \frac{1}{N} \sum_{i \in a} w_i y_i \\ \frac{1}{N} \sum_{i \in b} w_i y_i \end{pmatrix} \end{aligned} \tag{6}$$

therefore,

$$\begin{aligned} \hat{\beta}^w &= \left(\frac{1}{N} \sum_i w_i x_i x_i\right)^{-1} \left(\frac{1}{N} \sum_i w_i x_i y_i\right) \\ &= \begin{pmatrix} \left(\frac{1}{N} \sum_{i \in a} w_i\right)^{-1} & 0 \\ 0 & \left(\frac{1}{N} \sum_{i \in b} w_i\right)^{-1} \end{pmatrix} \begin{pmatrix} \frac{1}{N} \sum_{i \in a} w_i y_i \\ \frac{1}{N} \sum_{i \in b} w_i y_i \end{pmatrix} \\ &= \begin{pmatrix} \sum_{i \in a} w_i y_i / \sum_{i \in a} w_i \\ \sum_{i \in b} w_i y_i / \sum_{i \in b} w_i \end{pmatrix} \end{aligned} \tag{7}$$

which matches with our solution in (4). The first coefficient is the weighted average of y_i within group a , given weights w_i 's. The second coefficient is the weighted average in group b .